Type MS · Draw a tariff, subsidy or indirect tax change

Answer 1 of 18 · Question 1 part f · 3 marks

2023 NOV · Paper 02 · extract 1 of 6 · find part f in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** The tax rate increases as income increases A is not correct because this does not describe a characteristic of progressive taxation B is not correct because this this does not describe a characteristic of progressive taxation/ is regressive D is not correct because progress taxation is not linked to GDP	**(1)**

Question Number	Which **one** of the following describes a fiscal surplus? **Answer**	Mark
1(b)	**AO1 1 marks** The only correct answer is: **D** Government revenue is greater than government expenditure A is not correct because this describes current account surplus B is not correct because this describes a current account deficit C is not correct because this describes a fiscal deficit	**(1)**

Question Number	What is meant by the term income inequality? **Answer**	Mark
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition Differences in income **(1)** between different groups of earners **(1)** **OR** The unequal/uneven distribution of income **(1)** throughout an economy/a society **(1)** Accept any other appropriate response	**(2)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 1 of 18 · Question 1 part f · 3 marks

2023 NOV · Paper 02 · extract 2 of 6 · find part f in this mark scheme extract

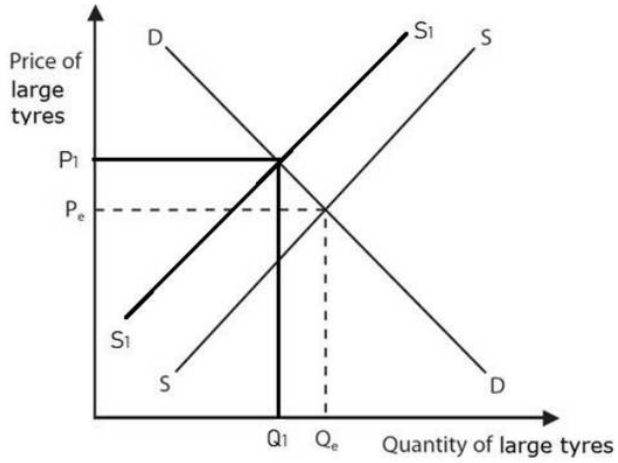
Question Number	Describe **one** role of the World Trade Organization (WTO). **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to the role and 1 mark for development of the role It helps to settle trade disputes between countries **(1)** by acting as a mediator to find a solution **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate, to two decimal places, the **rate of unemployment**. You are advised to show your working. **Answer**	Mark
1(e)	**AO2 2 marks** Award 1 mark for showing the calculation $\frac{(34 \text{ million} - 32 \text{ million})}{34 \text{ million}} \times 100$ **(1)** **OR** $\frac{2 \text{ million}}{34 \text{ million}} \times 100$ **(1)** Award 1 mark for the correct answer = 5.88% **(1)** Award 2 marks if the correct answer is 5.88% even if no calculations are shown Award 1 mark if the answer given is 5.88 even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 1 of 18 · Question 1 part f · 3 marks

2023 NOV · Paper 02 · extract 3 of 6 · find part f in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of the tariff on the equilibrium price and quantity of large tyres. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for a leftward shift of supply curve, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a lower equilibrium quantity, labelled  	**(3)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 1 of 18 · Question 1 part f · 3 marks

2023 NOV · Paper 02 · extract 4 of 6 · find part f in this mark scheme extract

Question Number	Explain **one** advantage of free trade for businesses in Ecuador. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage is that businesses can access a wider market **(1).** Trade barriers will be removed for products such as bananas **(1)** which could help to increase total sales and revenue **(1)** • One advantage is that there could be lower input costs **(1).** Trade barriers will be removed for imports from China **(1)** which could help businesses to sell goods for lower prices in the domestic market **(1)** Accept any other appropriate response	**(3)**

Question Number	With reference to the data above and your knowledge of economics, analyse the impact of high rates of inflation on consumer confidence in a country such as Germany. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Consumer confidence is an economic indicator that gauges consumers' perception of the economy • High rates of inflation could reduce confidence in Germany • Inflation reduces purchasing power and a rate of 10.4% will result in many consumers experiencing a reduction in living standards • This is because they cannot afford to purchase the same amount of goods and services • Consumer confidence will fall and may make them more cautious and less willing to borrow money • Savings may increase to safeguard against the future • High rates of inflation can cause uncertainty for many consumers making it difficult to plan ahead if prices are rising so much	**(6)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 1 of 18 · Question 1 part f · 3 marks

2023 NOV · Paper 02 · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 1 of 18 · Question 1 part f · 3 marks

2023 NOV · Paper 02 · extract 6 of 6 · find part f in this mark scheme extract

Question Number	What is the main reason for a government to devalue its currency? **Answer**	Mark

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 2 of 18 · Question 1 part f · 3 marks

2020 JAN · Paper 02 · extract 1 of 5 · find part f in this mark scheme extract

1(a)	**AO1 1 marks** **C** free trade	**(1)**

Question Number	Answer	Mark
1(b)	**AO1 1 mark** **B** Invisible trade	**(1)**

Question Number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to being willing and able and 1 mark for reference to unable to find employment People are willing and able to work/actively seeking work **(1)** but cannot find employment **(1)**. Accept any other appropriate responses.	**(2)**

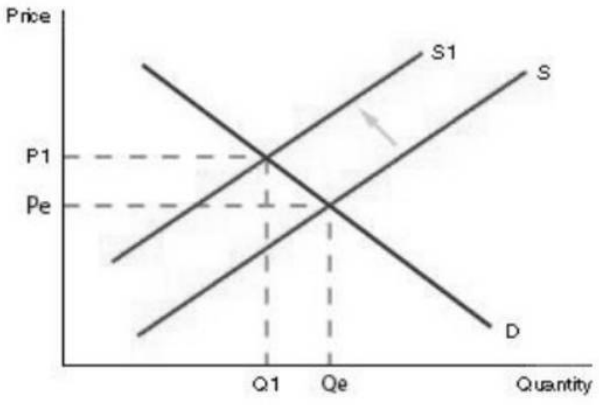
Question Number	Answer	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to decision and 1 mark for reference to not being both achievable The choice between two objectives **(1)**, where for one objective to increase the other must decrease **(1)**. Accept any other appropriate responses.	**(2)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 2 of 18 · Question 1 part f · 3 marks

2020 JAN · Paper 02 · extract 2 of 5 · find part f in this mark scheme extract

Question Number	Answer	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation. $\frac{8 \text{ million}}{72 \text{ million}} \times 100$ **(1)** Award 1 mark for the correct answer. = 11.11% **(1)** Award 2 marks if the rate of unemployment is correctly calculated as 11.11%, with percentage sign, even if no calculations are shown. Award 1 mark if correct answer is shown, but with no percentage sign, even with or without calculations. Do not award marks for the formula.	**(2)**

Question Number	Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for leftward shift of supply, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 2 of 18 · Question 1 part f · 3 marks

2020 JAN · Paper 02 · extract 3 of 5 · find part f in this mark scheme extract

Question Number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • If the quality of domestically produced goods is poor compared to imported foreign goods **(1)** then fewer consumers will buy these goods **(1).** Imports are likely to increase which contributes to the current account deficit of $5.082bn **(1)**. • If domestically produced goods are of poor quality **(1)** then there is less chance of exporting these goods to other countries **(1)**. Exports are likely to fall which contributes to the current account deficit of $5.082bn **(1)**. Accept any other appropriate response.	**(3)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 2 of 18 · Question 1 part f · 3 marks

2020 JAN · Paper 02 · extract 4 of 5 · find part f in this mark scheme extract

Question Number	Indicative content	
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Subsidies are financial support from a government to lower the production costs of domestic firms • In this case, the Indian Government is providing a production subsidy of $725m to the farmers of sugar cane • Subsidies will lower the price of Indian produced sugar cane and increase sales • Financial support in the form of subsidies can help to protect local jobs • Subsidies can also help to encourage agricultural output of sugar cane by encouraging an increase in supply • Subsidies can help to improve competiveness against firms in other countries such as Australia that may not receive government assistance	
Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 2 of 18 · Question 1 part f · 3 marks

2020 JAN · Paper 02 · extract 5 of 5 · find part f in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 3 of 18 · Question 1 part f · 3 marks

2021 JUN · Paper 02 · extract 1 of 5 · find part f in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** Seasonal A is not correct because this is caused by changes in whole industries B is not correct because this is caused by falling demand as a result of a downturn in the economic cycle D is not correct because this is caused from people choosing not to work	**(1)**

Question Number	Which **one** of the following terms refers to a tax on imported goods? Answer	Mark
1(b)	**AO1 1 mark** The only correct answer is **B** Tariff A is not correct because this is money paid by a government to reduce costs and lower prices C is not correct because this is a financial penalty for firms that break laws D is not correct because this is a document that gives business the right to discharge a certain quantity of polluting material	**(1)**

Question Number	What is meant by the term recession? Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to fall in GDP and 1 mark for reference to time period A fall in GDP **(1)** for two successive quarters **(1)**. Accept any other appropriate response	**(2)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 3 of 18 · Question 1 part f · 3 marks

2021 JUN · Paper 02 · extract 2 of 5 · find part f in this mark scheme extract

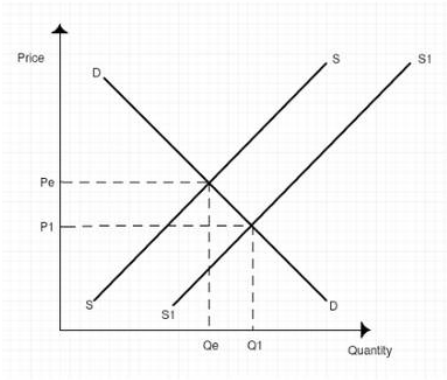
Question Number	What is meant by the term dumping? Answer	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to exporting goods and 1 mark for reference to the price being below manufacturing costs A firm sells goods in another country **(1)** below the cost of production **(1).** Accept any other appropriate response	**(2)**

Question Number	Calculate **the fiscal surplus/deficit in Indian rupees crore (Rs)** for India in 2019–2020. You are advised to show your working. Answer	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation 2 080 201 Rs – 2 784 200 Rs **(1)** Award 1 mark for the correct answer = –703 999 Rs **(1)** Award 2 marks for the correct answer of –703 999 Rs even if no calculations are shown. Award 1 mark if the answer given is –703 999 with or without calculations shown Do not award marks for the formula	**(2)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 3 of 18 · Question 1 part f · 3 marks

2021 JUN · Paper 02 · extract 3 of 5 · find part f in this mark scheme extract

Question Number	Using the diagram below, draw the likely effects of the introduction of a subsidy on the equilibrium price and quantity of new cars for families with three or more children. Label the new curve, the new equilibrium price and the new equilibrium quantity. Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for rightward shift of supply curve, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Question Number	Explain **one** benefit to the UK Government of providing parks. Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant benefit Award 1 mark for developing the benefit Award 1 mark for the response being in context • One benefit is that national parks can protect a large area of land **(1)**. The Lake District National Park has over 12% of woodland that is protected **(1)**. Restrictions are in place to stop business activities that could damage the environment **(1)** • One benefit is that national parks can be used for recreational purposes **(1)**. Over 19.17 million people visited the Lake District National Park in 2018 **(1)** increasing tourism for local firms **(1)** Accept any other appropriate response	**(3)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 3 of 18 · Question 1 part f · 3 marks

2021 JUN · Paper 02 · extract 4 of 5 · find part f in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the benefits of FDI for a country such as Ireland. Indicative content
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • FDI is the value of inward investment from other countries/firms into a country • FDI can bring in capital investment to Ireland as MNCs will need buildings, equipment and infrastructure to operate within the country • Jobs can be created by MNCs which reduces unemployment and increases disposable income in Ireland • There may be increased demand for the products or services of local Irish firms that supply MNCs • MNCs may train up the local workforce and MNCs often bring new technologies, techniques and methods • Increased employment and wages should lead to increased tax for the Irish Government • Exports may also increase therefore improving the balance of payments for Ireland

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity an organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 3 of 18 · Question 1 part f · 3 marks

2021 JUN · Paper 02 · extract 5 of 5 · find part f in this mark scheme extract

Question Number	An appreciation in a country's exchange rate is most likely to lead to which **one** of the following? Answer	Mark

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 4 of 18 · Question 1 part f · 3 marks

2021 NOV · Paper 02 · extract 1 of 5 · find part f in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** Quota A is not correct because this refers to currency and not a product B is not correct because this relates to price rather than quantity C is not correct because this defines a good not provided by the market	**(1)**

Question Number	**Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **C** Supply-side A is not correct because this refers to exchange of goods and services B is not correct because this concerns government revenue and expenditure D is not correct because this is the price of one currency in terms of another	**(1)**

Question Number	**Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to GDP/economic cycle and 1 mark for reference to speed A period where GDP is still growing **(1)** but more slowly **(1)** Accept any other appropriate response	**(2)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 4 of 18 · Question 1 part f · 3 marks

2021 NOV · Paper 02 · extract 2 of 5 · find part f in this mark scheme extract

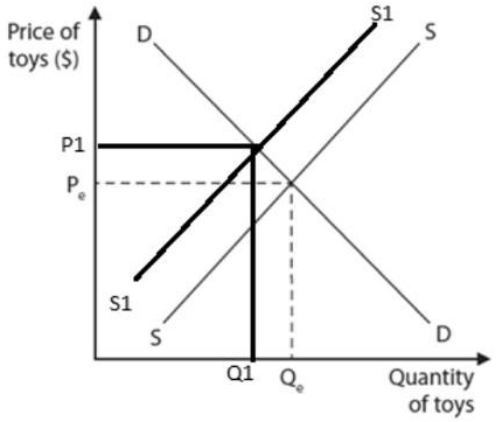
Question Number	**Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to new industry and 1 mark for reference to not well known in the market New/fledgling industries **(1)** that have yet to establish themselves **(1)** Accept any other appropriate response	**(2)**

Question Number	**Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation £73m x €1.08 **(1)** Award 1 mark for the correct answer. = €78 840 000 or €78.84m **(1)** Award 2 marks for the correct answer of €78 840 000 or €78.84m even if no calculations are shown Award 1 mark if the answer given is 78 840 000 or 78.84m with or without calculations shown Do not award marks for the formula	**(2)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 4 of 18 · Question 1 part f · 3 marks

2021 NOV · Paper 02 · extract 3 of 5 · find part f in this mark scheme extract

Question Number	Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for leftward shift of supply curve, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  **Figure 1**	**(3)**

Question Number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage Award 1 mark for developing the disadvantage Award 1 mark for the response being in context • One disadvantage is an increase in inflation **(1)**. Growth of 4.9% in Malaysia means that firms will require more resources to make more goods and services **(1)**. If there is a shortage of resources then this might result in cost push inflation **(1)** • One disadvantage is the damage caused to the environment **(1)**. Growth of 4.9% means more resources will be required to make goods and services **(1)**. This could result in an increase in pollution levels within Malaysia **(1)** Accept any other appropriate response	**(3)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 4 of 18 · Question 1 part f · 3 marks

2021 NOV · Paper 02 · extract 4 of 5 · find part f in this mark scheme extract

Question Number	**Indicative content**
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Monetary policy is the use of interest rates and money supply to control (aggregate) demand in the economy • Monetary policy can be used to reduce inflationary pressures in Kenya by the central bank increasing interest rates • An increase in interest rates above the current 9% base rate might help to reduce spending and investment in the economy thus slowing down economic activity and reducing inflationary pressure • There might be a greater reward for saving which may discourage consumers from spending helping to reduce (aggregate) demand and therefore inflation in the economy • A rise in interest rates may increase the value of the currency which could result in cheaper imports and therefore reducing inflation

Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 4 of 18 · Question 1 part f · 3 marks

2021 NOV · Paper 02 · extract 5 of 5 · find part f in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 5 of 18 · Question 1 part f · 3 marks

2022 JUN · Paper 02 (regional R) · extract 1 of 5 · find part f in this mark scheme extract

1(a)	**AO2 1 mark** The only correct answer is: **D** An airline cuts jobs during a global recession A is not correct because it is structural unemployment B is not correct because it is seasonal unemployment C is not correct because it is frictional unemployment	**(1)**

Question Number	**Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **B** devaluation A is not correct because this is caused by market forces C is not correct because this is an increase in the exchange rate D is not correct because this is an increase in the exchange rate caused by market forces	**(1)**

Question Number	What is meant by the term exports? **Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to goods and 1 mark for reference to being to another country The sale of goods or services **(1)** to another country **(1)** Accept any other appropriate response	**(2)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 5 of 18 · Question 1 part f · 3 marks

2022 JUN · Paper 02 (regional R) · extract 2 of 5 · find part f in this mark scheme extract

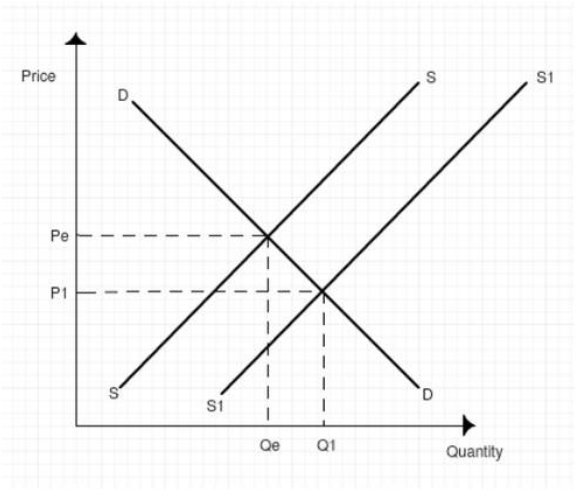
Question Number	Describe one impact that education may have on inequality and poverty. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference reducing inequality and poverty and 1 mark for reference to skills Education helps to reduce inequality and poverty **(1)** by providing skills needed to get a job **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate how much inflation there has been between 2015 and 2019. **Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation 110.2 - 100 **(1)** Award 1 mark for the correct answer = 10.2% **(1)** Award 2 marks if the correct answer 10.2% is shown, with percentage sign, even if no calculations are shown Award 1 mark if the answer given is 10.2, but with no percentage sign, with or without calculations shown Do not award marks for the formula.	**(2)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 5 of 18 · Question 1 part f · 3 marks

2022 JUN · Paper 02 (regional R) · extract 3 of 5 · find part f in this mark scheme extract

Question Number	Draw the effects of the introduction of a subsidy on the equilibrium price and quantity of renewable energy. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for rightward shift of supply, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Question Number	Explain the likely impact of a decrease in the UK interest rates on the UK pound. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is that the currency will depreciate **(1).** It will become less attractive to deposit money in the UK **(1).** Therefore, demand for the UK pound (£) will fall **(1)** Accept any other appropriate response.	**(3)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 5 of 18 · Question 1 part f · 3 marks

2022 JUN · Paper 02 (regional R) · extract 4 of 5 · find part f in this mark scheme extract

Question Number	Analyse the disadvantages of free trade for domestic businesses located within this free trade area. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Free trade is a situation in which goods and services coming into or going out of a country/trade area are not controlled or taxed • Free trade means that domestic businesses are no longer protected • Domestic businesses will face greater competition from firms within the free trade area • Businesses may see increased competition from cheaper, low-cost firms within the free trade area who may have lower wage costs compared to domestic businesses • This could result in falling sales for businesses in the EU that will tend to have higher labour costs compared to Vietnam	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 5 of 18 · Question 1 part f · 3 marks

2022 JUN · Paper 02 (regional R) · extract 5 of 5 · find part f in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 6 of 18 · Question 1 part f · 3 marks

2023 JAN · Paper 02 (regional R) · extract 1 of 6 · find part f in this mark scheme extract

1(a)	**AO1 1 marks** The only correct answer is: **B** Unemployment A is not correct because this is measured by a % change in GDP C is not correct because this is decided by the government D is not correct because this is measured by the CPI	**(1)**

Question Number	Which **one** of the following is considered to be a progressive tax in the UK? **Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **A** Income tax B is not correct because this is an indirect tax/regressive tax C is not correct because these are taxes on individual items D is not correct because a set percentage is paid	**(1)**

Question Number	What is meant by the term deregulation? **Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to removal and 1 mark for reference to government controls The removal **(1)** of government controls **(1)** Accept any other appropriate response	**(2)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 6 of 18 · Question 1 part f · 3 marks

2023 JAN · Paper 02 (regional R) · extract 2 of 6 · find part f in this mark scheme extract

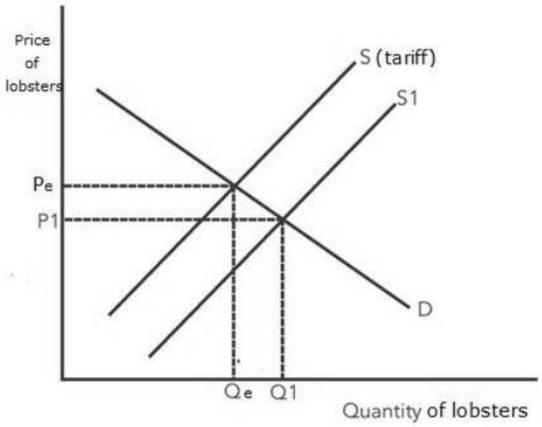
Question Number	Describe **one** negative impact of economic growth. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to environmental damage and 1 mark for reference to economic activity Environmental damage **(1)** caused by factories making more goods/services **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate the **price in euros (€)** of a UK manufactured car priced at £15 000 when the exchange rate is £1 = €1.10. You are advised to show your working. **Answer**	Mark
1(e)	**AO2 2 marks** Award 1 mark for showing the calculation £15 000 x €1.10 **(1)** Award 1 mark for the correct answer = €16 500 **(1)** Award 2 marks if the correct answer €16 500 is shown, with € sign, even if no calculations are shown Award 1 mark if correct answer 16 500 is shown, but with no € sign, with or without calculations Do not award marks for the formula	**(2)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 6 of 18 · Question 1 part f · 3 marks

2023 JAN · Paper 02 (regional R) · extract 3 of 6 · find part f in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the decrease in the tariff on the equilibrium price and quantity of US lobster imports into the EU. Label the new curve, the new equilibrium price and new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for rightward shift of supply, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 6 of 18 · Question 1 part f · 3 marks

2023 JAN · Paper 02 (regional R) · extract 4 of 6 · find part f in this mark scheme extract

Question Number	Explain the impact of wages rising faster than inflation on a country such as Mexico. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • The impact is that wages can buy more goods/services **(1)**. This is because wages are rising at a faster rate than prices in Mexico **(1).** This could result in increased pressure on the rate of inflation **(1)** • The impact is that firms could see fewer wage demands **(1)**. This is because wages are rising at a faster rate than prices in Mexico **(1)**. Employees would be less likely to require higher wages to maintain standards of living **(1)** Accept any other appropriate response	**(3)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 6 of 18 · Question 1 part f · 3 marks

2023 JAN · Paper 02 (regional R) · extract 5 of 6 · find part f in this mark scheme extract

Question Number	Analyse the impact of education and training on the productive potential of a country such as Vietnam. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Education and training are examples of supply-side policies designed to improve the productive potential of an economy • Investment in education and training in IT can help unemployed workers to acquire new skills so they can gain employment • Many unemployed workers lack the necessary skills needed to get a job, especially older workers who may need retraining to gain digital skills • Offering training courses in IT could help to reduce structural unemployment within Vietnam • A better educated and trained workforce could enable Vietnam to produce more goods and services using IT skills thus increasing the productive potential of the country	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 6 of 18 · Question 1 part f · 3 marks

2023 JAN · Paper 02 (regional R) · extract 6 of 6 · find part f in this mark scheme extract

Question Number	Which type of unemployment would result from the permanent closure of a coal mine? **Answer**	Mark

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 7 of 18 · Question 1 part f · 3 marks

2023 JAN · Paper 02 · extract 1 of 6 · find part f in this mark scheme extract

1(a)	**AO1 1 marks** The only correct answer is: **B** Settling trade disputes A is not correct because it does not have the power to do this C is not correct because its role is to decrease trade barriers D is not correct because this would increase protectionism	**(1)**

Question Number	Which **one** of the following is an example of a supply-side policy to increase output? **Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **C** Increasing the school-leaving age A is not correct because it is a fiscal policy B is not correct because it is a monetary policy D is not correct because it would deter investment	**(1)**

Question Number	What is meant by the term economies of scale? **Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to falling average costs and 1 mark for reference to expansion Falling average costs **(1)** due to expansion of the firm **(1)** Accept any other appropriate response	**(2)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 7 of 18 · Question 1 part f · 3 marks

2023 JAN · Paper 02 · extract 2 of 6 · find part f in this mark scheme extract

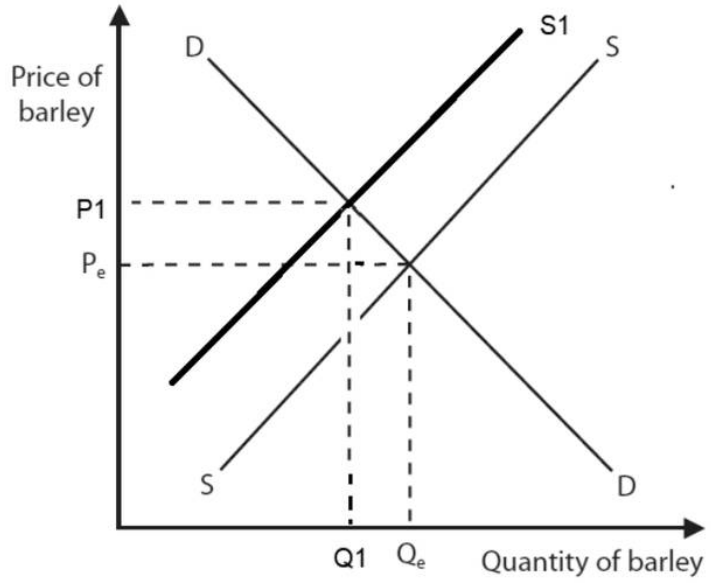
Question Number	Describe **one** advantage of free trade for consumers. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to an advantage for consumers and 1 mark for development of an advantage for consumers An increase in choice **(1)** due to more foreign goods/services being imported into the country **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate the **net pay** in £ for Sofia. You are advised to show your working. **Answer**	Mark
1(e)	**AO2 2 marks** Award 1 mark for showing the calculation £22 500 x 20% = £4 500 **(1)** Award 1 mark for the correct answer £35 000 - £4 500 = £30 500 **(1)** Award 2 marks if the correct answer £30 500 is shown, with £ sign, even if no calculations are shown Award 1 mark if correct answer 30 500 is shown but with no £ sign, with or without calculations Do not award marks for the formula	**(2)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 7 of 18 · Question 1 part f · 3 marks

2023 JAN · Paper 02 · extract 3 of 6 · find part f in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of a tariff on the equilibrium price and quantity of Australian barley. Label the new curve, the new equilibrium price and new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for leftward shift of supply, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 7 of 18 · Question 1 part f · 3 marks

2023 JAN · Paper 02 · extract 4 of 6 · find part f in this mark scheme extract

Question Number	Explain **one** reason why some people in the tourism sector might suffer from seasonal unemployment in a country such as France. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that workers are only required for certain times of the year **(1).** Tourist attractions/holiday resorts will require more workers during the holiday season **(1).** Seasonal workers are no longer needed when the holiday season ends so are therefore seasonally unemployed **(1)** Accept any other appropriate response	**(3)**

Question Number	Analyse the benefits of a current account surplus for a country such as Australia. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A current account surplus means an economy is exporting a greater value of goods and services than it is importing • Australia's current account surplus was $18.1bn in December 2020 • Australia's current account surplus benefits the country in terms of employment as higher export sales help to create jobs • This encourages economic growth and a higher GDP • This is likely to result in a higher standard of living for people living in Australia • Australia's current account surplus will mean that it will have surplus foreign exchange it can use to invest in other countries	**(6)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 7 of 18 · Question 1 part f · 3 marks

2023 JAN · Paper 02 · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 7 of 18 · Question 1 part f · 3 marks

2023 JAN · Paper 02 · extract 6 of 6 · find part f in this mark scheme extract

Question Number	Money earned from foreign tourists visiting Canada is shown in Canada's current account on the balance of payments as: **Answer**	Mark

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 8 of 18 · Question 2 part f · 3 marks

2023 JUN · Paper 02 · extract 1 of 6 · find part f in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **D** Tax rates A is not correct because this is affected by changes in the supply and demand for currencies B is not correct because this is part of monetary policy C is not correct because this is dependent on the output of firms	**(1)**

Question Number	A savings account has €5 000 in it at the start of the year. If the interest rate is 2%, what is the total amount in the account at the end of the year? Answer	Mark
2(b)	**AO2 1 mark** The only correct answer is: **D** €5 100 A is not correct because this is the interest only B is not correct because this is calculated by €5 000/2 C is not correct because this is calculated by €5 000 - €100	**(1)**

Question Number	State **one** role of a central bank. Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** function. • setting interest rates • controlling inflation • stabilising a nation's currency • lender of last resort • implementing the government's monetary policy • regulating the banking system Accept any other appropriate responses.	**(1)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 8 of 18 · Question 2 part f · 3 marks

2023 JUN · Paper 02 · extract 2 of 6 · find part f in this mark scheme extract

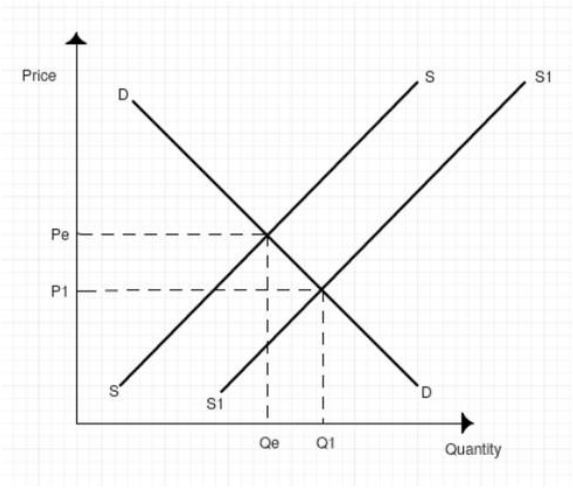
Question Number	What is meant by the term current account surplus? Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to value of exports and 1 mark for reference to exceeding value of imports When the value of exports **(1)** exceeds the value of imports **(1)** Accept any other appropriate response.	**(2)**

Question Number	Explain **one** impact education and training may have on inequality and poverty. Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is that it can reduce inequality and poverty **(1).** Training and education can provide new skills for young people **(1)**. Therefore, they are more likely to be able to gain employment/income **(1)** Accept any other appropriate response.	**(3)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 8 of 18 · Question 2 part f · 3 marks

2023 JUN · Paper 02 · extract 3 of 6 · find part f in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of a subsidy on the equilibrium price and quantity of electric vehicles. Label the new curve, the new equilibrium price and new equilibrium quantity. Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for rightward shift of supply, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 8 of 18 · Question 2 part f · 3 marks

2023 JUN · Paper 02 · extract 4 of 6 · find part f in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the impact of infrastructure spending on the productive potential of a country such as the UK. Indicative content	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Infrastructure spending is an example of a supply-side policy • The productive potential of the UK economy may increase if the quality of its infrastructure is improved • The UK Government is investing in a wide range of projects including urban transport and the provision of broadband to hard-to-reach areas • This may help to increase geographical mobility as well as improve the distribution of goods/services • In the short term, building or upgrading transport can boost (aggregate) demand through increased construction activity and employment • In the long term, infrastructure investment can boost economic growth by attracting investment and increasing the potential supply capacity of an economy **AO4** • However, it can be argued that spending £130bn on its economic infrastructure may not be that effective in increasing the total output in the UK economy • It is unclear how the UK Government will fund this investment and it may have to borrow the additional finance and could result in a fiscal deficit • There is an opportunity cost of these investments with no guarantee that total output will increase in the long term • By nature, supply-side policies tend to take a very long time to work and infrastructure investments can be highly complex to manage • The overall impact on output will depend upon whether the planned spending can add to (aggregate) demand and (aggregate) supply	**(9)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 8 of 18 · Question 2 part f · 3 marks

2023 JUN · Paper 02 · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 8 of 18 · Question 2 part f · 3 marks

2023 JUN · Paper 02 · extract 6 of 6 · find part f in this mark scheme extract

Question Number	A decrease in unemployment is likely to result in Answer	Mark

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 9 of 18 · Question 1 part f · 3 marks

2024 JUN · Paper 02 (regional R) · extract 1 of 5 · find part f in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** Environmental damage A is not correct because MNCs invest in factories and capital equipment in other countries B is not correct because this is an advantage of MNCs C is not correct because MNCs often create new jobs when locating in another country	**(1)**

Question Number	Which **one** of the following describes voluntary unemployment? **Answer**	Mark
1(b)	**AO1 1 marks** The only correct answer is: **C** Unemployment caused by individuals choosing not to work A is not correct because this describes structural unemployment B is not correct because this describes cyclical unemployment D is not correct because this describes seasonal unemployment	**(1)**

Question Number	What is meant by the term monetary policy? **Answer**	Mark
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition Use of interest rates/money supply **(1)** to influence the level of overall demand in the economy **(1)** Accept any other appropriate response	**(2)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 9 of 18 · Question 1 part f · 3 marks

2024 JUN · Paper 02 (regional R) · extract 2 of 5 · find part f in this mark scheme extract

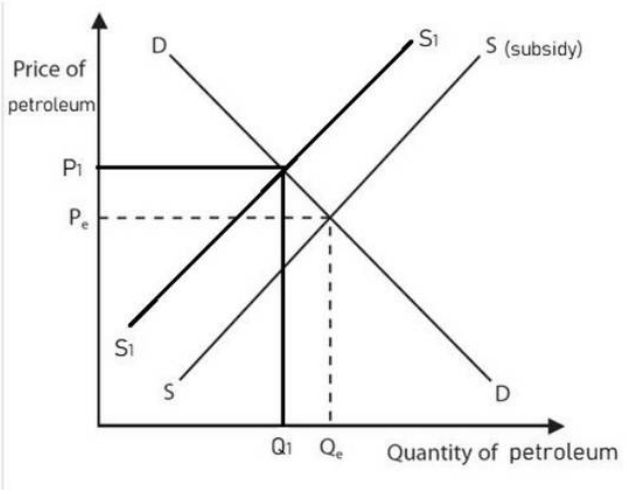
Question Number	Describe **one** advantage of privatisation for a government. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to an advantage for a government and 1 mark for development of an advantage for a government Generates revenue **(1)** which can help the government to invest in other areas **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate the **total amount of revenue** in £bn raised by indirect taxes in February 2023. You are advised to show your working. **Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for selecting indirect taxes from the table £14.3bn + £3.7bn + £0.4bn **(1)** Award 1 mark for the correct answer = £18.4bn **(1)** Award 2 marks if the correct answer is £18.4bn even if no calculations are shown Award 1 mark if the answer given is 18.4 even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 9 of 18 · Question 1 part f · 3 marks

2024 JUN · Paper 02 (regional R) · extract 3 of 5 · find part f in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the removal of the fuel subsidy on the equilibrium price and quantity of petroleum in Ghana. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for a leftward shift of supply curve, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a lower equilibrium quantity, labelled  	**(3)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 9 of 18 · Question 1 part f · 3 marks

2024 JUN · Paper 02 (regional R) · extract 4 of 5 · find part f in this mark scheme extract

Question Number	Explain **one** advantage of deregulation for a country such as India. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage is that it can increase competition **(1)**. New telecommunications firms can more easily enter the market and compete with established companies **(1)** which can lead to lower prices/higher quality/more choice for consumers **(1)** • One advantage is that it can stimulate economic growth **(1)**. When regulations are reduced, firms pay lower taxes or fees so may have more resources to invest **(1)** which can create jobs and increase economic output **(1)** Accept any other appropriate response	**(3)**

Question Number	With reference to the data above and your knowledge of economics, analyse the advantages for UK firms of the UK joining the CPTPP trading bloc. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Trading blocs are usually groups of countries in specific regions that negotiate preferential trading agreements between themselves with reduced trade barriers • The CPTPP includes countries in the Asia-Pacific region, providing UK firms with access to new markets that they might not have been able to enter before • By joining the CPTPP, the UK firms could benefit from reduced trade barriers, making it easier and cheaper to export goods to member countries • Membership in the CPTPP could help UK firms access skilled labour in other member countries • Membership of the CPTPP could help the UK firms diversify trade relationships beyond Europe, reducing the risk of relying on a single trading partner	**(6)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 9 of 18 · Question 1 part f · 3 marks

2024 JUN · Paper 02 (regional R) · extract 5 of 5 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Question Number	Which **one** of the following is the calculation for the rate of unemployment in a country? **Answer**	Mark

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 10 of 18 · Question 3 part c · 3 marks

2024 JUN · Paper 02 · extract 1 of 6 · find part c in this mark scheme extract

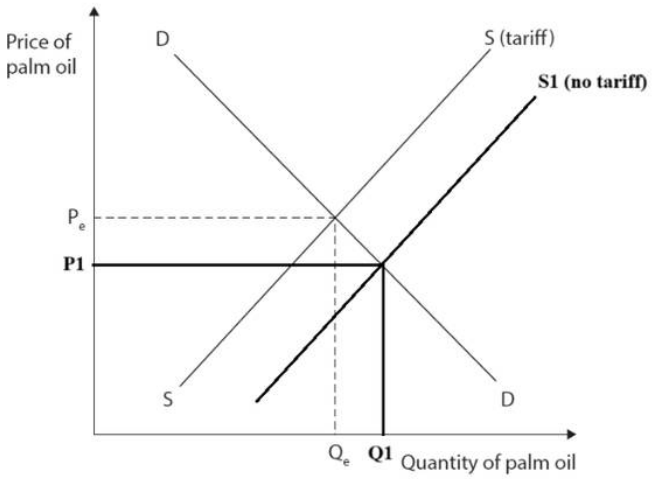
3(a)	**AO2 1 mark** The only correct answer is: **A** A Japanese car company buying an Indonesian car company B is not correct because this is an example of importing goods C is not correct because this is an example of domestic trade D is not correct because this an example of exporting goods	**(1)**

Question Number	How many US dollars ($) would it take to purchase £150? **Answer**	Mark
3(b)	**AO2 1 mark** The only correct answer is: **C** $187.50 A is not correct because this 0.80 x 150 B is not correct because this is 150 + 0.80 D is not correct because this is 150 + 80	**(1)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 10 of 18 · Question 3 part c · 3 marks

2024 JUN · Paper 02 · extract 2 of 6 · find part c in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the removal of the tariff on the equilibrium price and quantity of palm oil imported into the UK from Malaysia. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for a right shift of supply, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 10 of 18 · Question 3 part c · 3 marks

2024 JUN · Paper 02 · extract 3 of 6 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the possible benefits for consumers of globalisation. **Indicative content**	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Consumers can access a wider range of goods and services from different countries including luxury items, exotic foods and digital products that were previously unavailable or expensive • Increased competition and economies of scale have led to lower production costs which in turn have reduced prices for many consumer goods, such as clothing, electronics and household items • As consumers have access to more and cheaper goods, their purchasing power has increased • This can lead to higher living standards, better health and improved quality of life • Globalisation has facilitated the transfer of knowledge and technology across borders • This has led to new innovations, such as smartphones, online entertainment and e-commerce	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 10 of 18 · Question 3 part c · 3 marks

2024 JUN · Paper 02 · extract 4 of 6 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess how a recession may affect inflation in a country such as Germany. **Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • A recession is two consecutive quarters of negative growth • During a recession households and firms tend to reduce their spending which results in lower demand for goods and services • This decrease in (aggregate) demand can lead to lower prices for goods and services • This could help to reduce Germany's 10.4% rate of inflation • Firms in Germany may experience lower production costs due to lower input prices such as lower wages or lower prices for raw materials • This can result in lower prices for goods and services and again help to lower inflation **AO4** • However, the effects of a recession on inflation may depend on the type of inflation Germany is suffering • Inflation can be caused by cost-push factors rather than demand-pull factors • Germany has been suffering from an energy crisis due to high gas and oil prices • This could feed through to higher production costs for firms resulting in higher prices and therefore high rates of inflation • The central bank may pursue an expansionary monetary policy during a recession by keeping interest rates low • This can lead to higher inflation even if economic growth is weak	**(9)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 10 of 18 · Question 3 part c · 3 marks

2024 JUN · Paper 02 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 10 of 18 · Question 3 part c · 3 marks

2024 JUN · Paper 02 · extract 6 of 6 · find part c in this mark scheme extract

Question Number	Calculate the **fiscal deficit or surplus** in CAD$bn for Canada in 2021–2022. You are advised to show your working **Answer**	Mark

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 11 of 18 · Question 1 part f · 3 marks

2024 NOV · Paper 02 · extract 1 of 6 · find part f in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** For basic needs to be met A is not correct because it is not a legal requirement for a government to do this B is not correct because this will increase inequality D is not correct because this will increase poverty	**(1)**

Question Number	Which **one** of the following is a benefit of using gross domestic product (GDP) as a measure of growth? **Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **D** It is easy to compare economic growth between countries A is not correct because it does not measure how economic growth is distributed amongst the population B is not correct because it does not take into account all economic activity C is not correct because it does not take into account inflation	**(1)**

Question Number	What is meant by the term deflation? **Answer**	Mark
1(c)	**AO1 2 marks** Award 2 marks for a correct definition A reduction **(1)** in the general level of prices for goods and services **(1)** Accept any other appropriate response	**(2)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 11 of 18 · Question 1 part f · 3 marks

2024 NOV · Paper 02 · extract 2 of 6 · find part f in this mark scheme extract

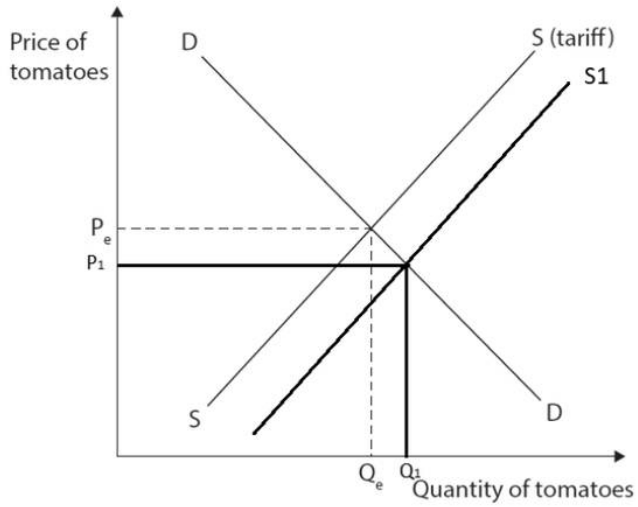
Question Number	Describe the impact of a reduction in the cost of communication on globalisation. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to the impact and 1 mark for the development of the impact One impact is an increase in globalisation **(1)** because firms can communicate/trade with each other more easily **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate the **invisible trade balance** in $bn for the country. You are advised to show your working. **Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for export of services – import of services $26bn - $16bn **(1)** Award 1 mark for the correct answer = $10bn **(1)** Award 2 marks if the correct answer is $10bn even if no calculations are shown Award 1 mark if the answer given is 10 even if no calculations are shown Do not award marks for the formula.	**(2)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 11 of 18 · Question 1 part f · 3 marks

2024 NOV · Paper 02 · extract 3 of 6 · find part f in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the removal of the tariff on the equilibrium price and quantity of tomatoes in India. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for a rightward shift of the supply curve, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled  **Figure 2**	**(3)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 11 of 18 · Question 1 part f · 3 marks

2024 NOV · Paper 02 · extract 4 of 6 · find part f in this mark scheme extract

Question Number	Explain **one** reason why governments use fines. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that it can deter individuals/firms from breaking the law **(1).** Very high fines of $1m will negatively affect the individuals/firms **(1)** this is likely to encourage individuals/firms to make sure they follow the law so people do not get injured **(1)** • One reason is that it can raise revenue for the government **(1).** Fines imposed on firms that break laws can be very high **(1)** and can give the government money to spend on compensating people affected by laws being broken **(1)** Accept any other appropriate response	**(3)**

Question Number	With reference to the data above and your knowledge of economics, analyse how high levels of cost-push inflation affect business confidence in a country such as Türkiye. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Higher energy costs of 157.2% can raise production and transportation costs resulting in an increase in raw material prices and overall costs of production • Higher production costs can lead to lower profits for firms in Türkiye • This is because firms may not be able to pass on the full cost of inflation to consumers in the form of higher prices reducing business confidence • When costs rise faster than firms can adjust their prices, profit margins get squeezed reducing business confidence • Firms may struggle to plan for the future. This is because they are not sure what energy prices will be like in the future causing uncertainty • This uncertainty can erode business confidence as firms are unsure about the future success of their operations	**(6)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 11 of 18 · Question 1 part f · 3 marks

2024 NOV · Paper 02 · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 11 of 18 · Question 1 part f · 3 marks

2024 NOV · Paper 02 · extract 6 of 6 · find part f in this mark scheme extract

Question Number	Which **one** of the following is a rise in the value of an exchange rate in a floating exchange rate system? **Answer**	Mark

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 12 of 18 · Question 1 part f · 3 marks

2025 JUN · Paper 02 (regional R) · extract 1 of 6 · find part f in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **B** A construction worker not finding work during the monsoon period A is not correct because this is an example of structural unemployment C is not correct because this is an example of cyclical unemployment D is not correct because this is an example of voluntary unemployment	**(1)**

Question Number	Which **one** of the following is likely to cause cost-push inflation? **Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **C** An increase in the prices of raw materials paid by producers A is not correct because this is more likely to cause demand-pull inflation B is not correct because this affects the supply-side but it is not a direct cause of cost-push inflation D is not correct because this stimulates demand rather than increasing production costs	**(1)**

Question Number	What is meant by the term current account deficit? **Answer**	Mark
1(c)	**AO1 2 marks** Award 2 marks for a correct definition When the value of imports **(1)** exceeds the value of exports **(1)** Accept any other appropriate response	**(2)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 12 of 18 · Question 1 part f · 3 marks

2025 JUN · Paper 02 (regional R) · extract 2 of 6 · find part f in this mark scheme extract

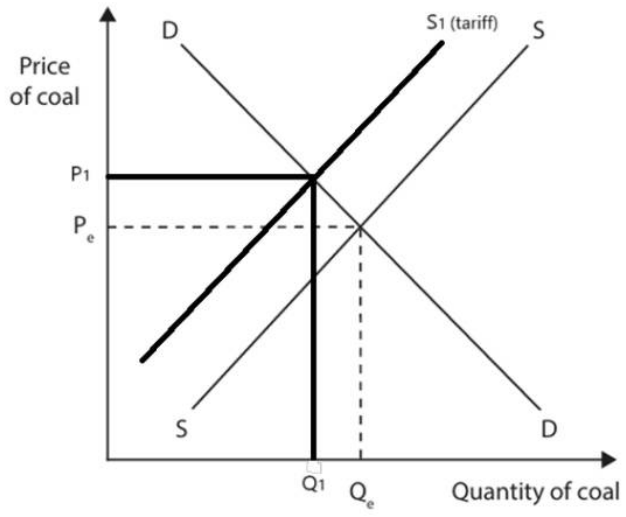
Question Number	Describe **one** benefit to a country of using quotas for imported goods. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to the benefit and 1 mark for the development of the benefit One benefit is quotas can protect domestic industries **(1)** due to restricting the quantity of certain imports **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate the **price in euros (€)** of a UK-manufactured smartphone priced at £750 when the exchange rate is £1 = €1.18. You are advised to show your working. **Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for calculation of the price in euros 750 × €1.18 **(1)** Award 1 mark for the correct answer = €885 **(1)** Award 2 marks if the correct answer is €885 even if no calculations are shown Award 1 mark if the answer given is 885 even if no calculations are shown Do not award marks for the formula.	**(2)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 12 of 18 · Question 1 part f · 3 marks

2025 JUN · Paper 02 (regional R) · extract 3 of 6 · find part f in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of the tariff on the equilibrium price and quantity of coal in China. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for a leftward shift of the supply curve, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a lower equilibrium quantity, labelled  	**(3)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 12 of 18 · Question 1 part f · 3 marks

2025 JUN · Paper 02 (regional R) · extract 4 of 6 · find part f in this mark scheme extract

Question Number	Explain **one** possible benefit of using pollution permits to protect the environment for a country such as the UK. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant benefit Award 1 mark for developing the benefit Award 1 mark for the response being in context • One benefit is that the health of UK citizens will be improved **(1).** Fewer available permits make airlines find ways to adopt cleaner technologies/improve efficiency. **(1)** This will help to reduce air pollution **(1)** • One benefit is that air pollution will decrease **(1).** This is because airlines are limited in how much they can pollute **(1)** so they must reduce their emissions to stay within limits **(1)** Accept any other appropriate response	**(3)**

Question Number	With reference to the data above and your knowledge of economics, analyse the benefits of using GDP as a measure of economic growth for a country such as India. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • GDP helps to understand the size and overall economic health of India • This makes it easier to assess how well the Indian economy is doing and whether it is growing or shrinking • India's GDP growth rate of 7.2% in 2023 allows for easy comparison with other major economies, showing its position and progress on a global scale • The GDP growth figures, of 7.2% in 2023 and forecasted 6.9% in 2024, help the government assess the effectiveness of its economic policies • Rising GDP signals more income/output, helping the Indian government plan for infrastructure, health or education spending • Generally, if India's GDP is increasing, it means people might be earning more and living standards could be improving	**(6)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 12 of 18 · Question 1 part f · 3 marks

2025 JUN · Paper 02 (regional R) · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 12 of 18 · Question 1 part f · 3 marks

2025 JUN · Paper 02 (regional R) · extract 6 of 6 · find part f in this mark scheme extract

Question Number	The percentage of income tax paid by an individual in a progressive tax system **Answer**	Mark

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 13 of 18 · Question 1 part f · 3 marks

2025 JUN · Paper 02 · extract 1 of 6 · find part f in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **B** Lower transportation costs A is not correct because increasing these barriers would likely decrease globalisation by limiting international trade C is not correct because it is the increased significance of multinational corporations that contributes to globalisation D is not correct because this would make trade more expensive and less likely to occur	**(1)**

Question Number	What is likely to happen if a government successfully reduces unemployment? **Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **A** Inflation might rise as more people have money to spend B is not correct because employment growth is associated with higher output and economic growth C is not correct because more people have jobs and therefore more money to spend D is not correct because government spending on benefits would decrease as more people are now employed	**(1)**

Question Number	What is meant by the term trading bloc? **Answer**	Mark
1(c)	**AO1 2 marks** Award 2 marks for a correct definition A trading bloc is a group of countries that join together **(1)** to reduce/eliminate trade barriers between themselves **(1)** Accept any other appropriate response	**(2)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 13 of 18 · Question 1 part f · 3 marks

2025 JUN · Paper 02 · extract 2 of 6 · find part f in this mark scheme extract

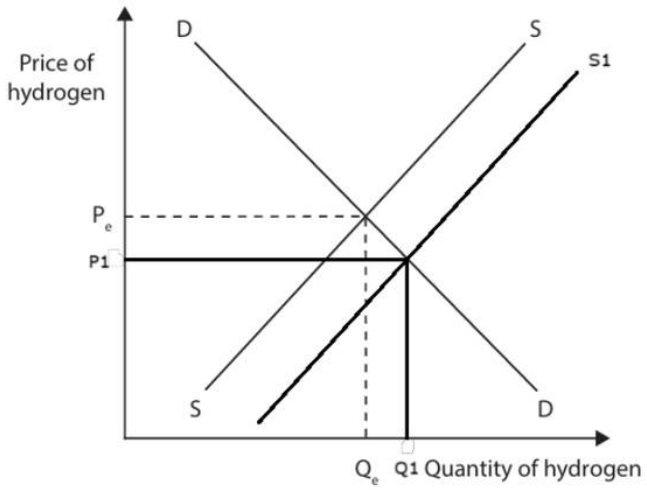
Question Number	Describe **one** impact on consumers of an increase in interest rates. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to the impact and 1 mark for the development of the impact One impact is that the cost of borrowing becomes more expensive **(1)** therefore fewer consumers take out loans to buy products **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate the **visible trade balance** in €bn for the country. You are advised to show your working. **Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for export of goods – import of goods €150bn - €120bn **(1)** Award 1 mark for the correct answer = €30bn **(1)** Award 2 marks if the correct answer is €30bn even if no calculations are shown Award 1 mark if the answer given is 30bn even if no calculations are shown Do not award marks for the formula.	**(2)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 13 of 18 · Question 1 part f · 3 marks

2025 JUN · Paper 02 · extract 3 of 6 · find part f in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of the subsidy on the equilibrium price and quantity of hydrogen in France. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for a rightward shift of the supply curve, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled  	**(3)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 13 of 18 · Question 1 part f · 3 marks

2025 JUN · Paper 02 · extract 4 of 6 · find part f in this mark scheme extract

Question Number	Explain **one** possible benefit of a fiscal surplus for a country such as Portugal. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant benefit Award 1 mark for developing the benefit Award 1 mark for the response being in context • One benefit is that Portugal can spend more money on public services **(1).** Investing more in these sectors can lead to better schools and hospitals **(1)** therefore improving the quality of life for its citizens. **(1)** Accept any other appropriate response	**(3)**

Question Number	With reference to the data above and your knowledge of economics, analyse the impact of a recovery on unemployment for a country such as Greece. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Firms might start hiring more people because they need more workers to meet the demand for their products or services reducing unemployment levels in Greece • Economic recovery often encourages entrepreneurs to start new businesses • These new firms will need employees, creating more jobs and increasing overall employment levels in Greece • When the economy is doing well, both firms and consumers feel more confident • Firms are more likely to invest in new projects or expand, needing more workers • Consumers spend more which can lead to more jobs in retail, services and other sectors	**(6)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 13 of 18 · Question 1 part f · 3 marks

2025 JUN · Paper 02 · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 13 of 18 · Question 1 part f · 3 marks

2025 JUN · Paper 02 · extract 6 of 6 · find part f in this mark scheme extract

Question Number	Which **one** of the following is a government policy that changes the rate of interest? **Answer**	Mark

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 14 of 18 · Question 2 part f · 3 marks

2025 NOV · Paper 02 · extract 1 of 7 · find part f in this mark scheme extract

2(a)	**AO11 mark** The only correct answer is: **D** A group of countries that reduce trade barriers between themselves A is not correct because a trade bloc does not require member countries to use the same currency B is not correct because a trade bloc does not necessitate that member countries have the same tax rates C is not correct because often countries have different languages	**(1)**

Question Number	Which **one** of the following best describes the role of currency speculators? **Answer**	**Mark**
2(b)	**AO11 marks** The only correct answer is: **B** They trade currencies to profit from changes in exchange rates A is not correct because they invest in currencies and not bonds C is not correct because they cannot lend money to countries D is not correct because only governments can fix currencies	**(1)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 14 of 18 · Question 2 part f · 3 marks

2025 NOV · Paper 02 · extract 2 of 7 · find part f in this mark scheme extract

Question Number	State **one** possible role of the World Trade Organization (WTO). **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** possible role • Trade negotiations • Settling trade disputes • Building membership of the WTO • Monitoring WTO rules are being followed • Persuading countries to reduce tariffs/quotas/trade barriers • To promote free trade Accept any other appropriate responses	**(1)**

Question Number	What is meant by the term economic growth? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition A rise in the total value of output/GDP **(1)** over a period of time **(1)** **OR** An increase in the level of output **(1)** by a nation **(1)** Accept any other appropriate response	**(2)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 14 of 18 · Question 2 part f · 3 marks

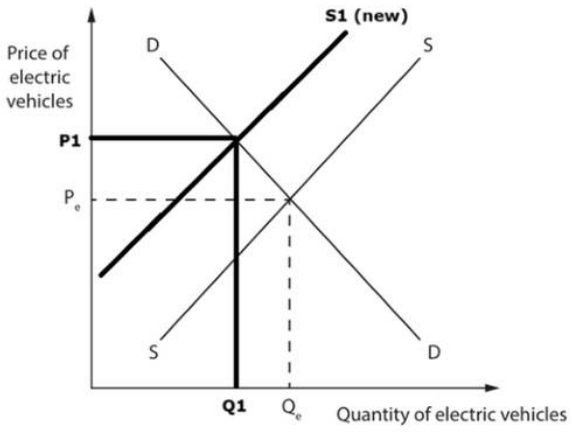
2025 NOV · Paper 02 · extract 3 of 7 · find part f in this mark scheme extract

Question Number	Explain **one** impact of rising unemployment on government spending on benefits in a country such as Sweden. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is an increase in government spending on benefit payments. **(1)** The government will need to allocate more funds to unemployment benefits **(1)** to support the increasing number of those without work/no income **(1)** Accept any other appropriate response	**(3)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 14 of 18 · Question 2 part f · 3 marks

2025 NOV · Paper 02 · extract 4 of 7 · find part f in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the new tariff on the equilibrium price and quantity of electric vehicles imported into the EU from China. Label the new curve, the new equilibrium price and new equilibrium quantity. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for a left shift of supply, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	(3)

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 14 of 18 · Question 2 part f · 3 marks

2025 NOV · Paper 02 · extract 5 of 7 · find part f in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess how effective monetary policy is likely to be in increasing output for a country such as New Zealand. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The central bank of New Zealand's recent reduction in the base rate to 5.25% could encourage businesses to borrow and invest, potentially boosting output in a difficult economic environment • The reduction makes loans more affordable for households, which can directly lead to increased spending and sales for firms • Lower interest rates may stimulate consumer spending, which has been weak, thereby increasing demand for goods and services and driving up production • Expansionary monetary policy can weaken the New Zealand currency, making exports more competitive and increasing output in export-driven industries • Monetary policy adjustments can be quickly implemented, providing a timely boost to economic output which is struggling with rising unemployment and low consumer confidence **AO4** • However, given the ongoing economic difficulties, including weak consumer confidence, the reduction in the base rate from 5.5% to 5.25% may not be sufficient to significantly boost spending and output • The small size of the rate cut may have only a minimal impact on boosting economic activity and increasing output • Firms in New Zealand may remain hesitant to invest despite the rate cut due to uncertainties like rising unemployment and reduced investment activity • Expansionary monetary policy can lead to inflationary pressures, which might offset gains in output by reducing purchasing power • Monetary policy may be less effective if the economy is already at or near full capacity, leading to limited increases in output

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 14 of 18 · Question 2 part f · 3 marks

2025 NOV · Paper 02 · extract 6 of 7 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 14 of 18 · Question 2 part f · 3 marks

2025 NOV · Paper 02 · extract 7 of 7 · find part f in this mark scheme extract

Question Number	In times of inflation, which **one** of the following is a shoe leather cost when purchasing a mobile phone online? **Answer**	Mark

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 15 of 18 · Question 3 part c · 3 marks

2025 NOV · Paper 02 · extract 1 of 7 · find part c in this mark scheme extract

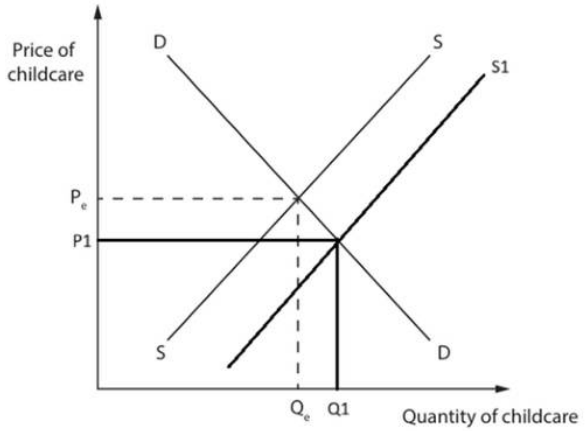
3(a)	**AO2 1 mark** The only correct answer is: **D** The cost to consumers of looking for the lowest price of mobile phones A is not correct because this describes menu costs B is not correct because this is a cost of production C is not correct because this is a cost of shopping online	**(1)**

Question Number	Calculate the trade balance between the UK and Spain in 2023. **Answer**	**Mark**
3(b)	**AO2 1 mark** The only correct answer is: **C** A trade deficit of £24.3bn A is not correct because this is imports – exports B is not correct because this is exports + imports and assumes a surplus D is not correct because this is exports + imports and assumes a deficit	**(1)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 15 of 18 · Question 3 part c · 3 marks

2025 NOV · Paper 02 · extract 2 of 7 · find part c in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of a subsidy on the equilibrium price and quantity of childcare in Northern Ireland. Label the new curve, the new equilibrium price and new equilibrium quantity. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for a rightward shift of supply, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled  	(3)

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 15 of 18 · Question 3 part c · 3 marks

2025 NOV · Paper 02 · extract 3 of 7 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse why fewer tariffs and quotas have resulted in an increase in globalisation. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Fewer tariffs and quotas reduce the cost of importing and exporting goods, making international trade more accessible and widespread • Lower trade barriers encourage countries to specialise in producing goods where they have an advantage, increasing global trade efficiency • The reduction in tariffs and quotas encourage competition among businesses, leading to innovation and the spread of new technologies across different countries • Consumers benefit from a wider variety of goods and services at lower prices, enhancing global interconnectedness • Easier access to international markets allows businesses to expand globally, creating stronger economic ties between countries

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 15 of 18 · Question 3 part c · 3 marks

2025 NOV · Paper 02 · extract 4 of 7 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 15 of 18 · Question 3 part c · 3 marks

2025 NOV · Paper 02 · extract 5 of 7 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the advantages of multinational corporations (MNCs) for the countries in which they operate. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • MNCs such Levi Strauss & Co can create employment opportunities, improving the standard of living for workers in countries where they operate • Worker well-being programmes can enhance the health, education and financial stability of employees, leading to a more productive workforce • MNCs often bring advanced technology and management practices to host countries, contributing to economic development and skill enhancement • Many MNCs invest in infrastructure such as roads in the countries in which they operate in order to get goods to market • The presence of MNCs can increase tax revenues for the host country's governments, which can be used for public services and infrastructure development • MNCs may engage in sustainable practices, such as water conservation and reducing greenhouse gas emissions, benefiting the local environment **AO4** • However, MNCs might prioritise profits over the welfare of local workers, potentially leading to poor working conditions despite well-being programmes • Local businesses may struggle to compete with large MNCs, which can limit the growth of domestic industries • MNCs could exploit natural resources or contribute to environmental degradation, despite some efforts at sustainability • The economic benefits of MNCs might be unevenly distributed, with most profits flowing back to the MNC's home country rather than staying in the host country • MNCs might influence local governments and policies in ways that favour their interests over those of the local population • Some MNCs might move profits abroad rather than invest in the countries in which they operate

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 15 of 18 · Question 3 part c · 3 marks

2025 NOV · Paper 02 · extract 6 of 7 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 15 of 18 · Question 3 part c · 3 marks

2025 NOV · Paper 02 · extract 7 of 7 · find part c in this mark scheme extract

Question Number	Calculate, to **two** decimal places, the **total value of UK exports** to France in euros (€bn) in 2023. You are advised to show your working. **Answer**	**Mark**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 16 of 18 · Question 1 part g · 3 marks

2023 NOV · Paper 01 · extract 1 of 5 · find part g in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** working conditions A is not correct because trade unions do not focus on the objectives of firms B is not correct because the government does not receive revenue due to trade union actions C is not correct because the environment is not a focus of trade union activity	**(1)**

Question number	Figure 1 below shows a change in demand for tickets to a sporting event. Which **one** of the following statements is true? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **C** An increase in demand is shown by a shift to the right A is not correct because when the price falls, the quantity demanded rises B is not correct because the demand curve slopes downwards from left to right D is not correct because a decrease in demand is shown by a shift to the left	**(1)**

Question number	What is meant by the term economies of scale? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition Falling average costs **(1)** due to expansion of the firm **(1)** Accept any other appropriate response	**(2)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 16 of 18 · Question 1 part g · 3 marks

2023 NOV · Paper 01 · extract 2 of 5 · find part g in this mark scheme extract

Question number	State **one** main feature of an oligopoly. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for a correct feature • Few firms • Large firms dominate • Different products • Barriers to entry • Collusion • Price competition • Non-price competition Accept any other appropriate response	**(1)**

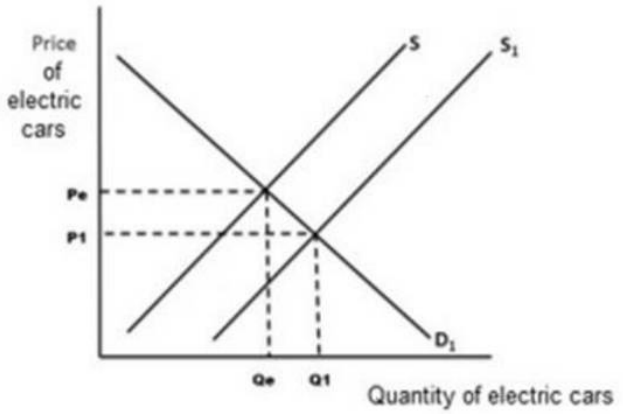
Question number	Define the term excess supply **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition • Where supply is greater than demand Accept any other appropriate response	**(1)**

Question number	Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 4.3%/3.7% **(1)** Award 1 mark for correct price elasticity of supply = 1.16 **(1)** Award 2 marks if price elasticity of supply is correctly calculated as 1.16, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 16 of 18 · Question 1 part g · 3 marks

2023 NOV · Paper 01 · extract 3 of 5 · find part g in this mark scheme extract

Question number	Using the diagram below, draw the likely effects on the market for electric cars following the introduction of a subsidy on electric cars. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	**Mark**
1(g)	**AO2 3 marks** Award 1 mark for a rightward shift of the supply curve, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled 	**(3)**

Question number	Explain **one** possible advantage of privatisation for consumers in Brazil. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying an advantage Award 1 mark for developing the response Award 1 mark for the response being in context • Consumers may benefit from lower prices **(1)** because a private firm is likely to want to be efficient **(1)** so it will aim to produce food at its lowest possible cost **(1)** • Better quality may be available to consumers **(1)** because private firms will aim to make a profit **(1)** meaning they need to retain customers by providing quality food products **(1)** Accept any other appropriate response	**(3)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 16 of 18 · Question 1 part g · 3 marks

2023 NOV · Paper 01 · extract 4 of 5 · find part g in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how market failure is likely to occur at the TSFG venue. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Market failure exists where resources are not allocated efficiently • Examples of market failure include externalities, missing markets, lack of information, factor immobility and lack of competition • There is a lack of competition selling food and drinks at the TSFG, meaning customers have limited choice of where to buy refreshments inside the grounds • This means higher prices can be charged because customers cannot get refreshments anywhere else • As people spend several hours at the venue, they are likely to need something to eat and/or drink during their visit • Therefore, the high prices and reduced choice leads to an inefficient allocation of resources

Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 16 of 18 · Question 1 part g · 3 marks

2023 NOV · Paper 01 · extract 5 of 5 · find part g in this mark scheme extract

Question number	A firm employing 135 workers has a total output of 33,750 units each month. What is the monthly labour productivity of the firm? **Answer**	Mark

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 17 of 18 · Question 1 part g · 3 marks

2020 JAN · Paper 01 (regional R) · extract 1 of 5 · find part g in this mark scheme extract

1(a)	**AO1 1 mark** **C** 0	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** **B** $4 500 profit	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to both the public and private sectors and 1 mark for reference to providing goods and services The public and private sectors **(1)** provide goods and services between them **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct example Retailer/Banker/Teacher Accept any other appropriate response	**(1)**

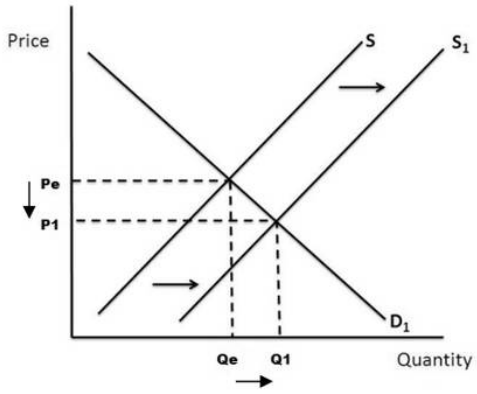
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A group with the authority to run a country or state Accept any other appropriate response	**(1)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 17 of 18 · Question 1 part g · 3 marks

2020 JAN · Paper 01 (regional R) · extract 2 of 5 · find part g in this mark scheme extract

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 12 ÷ 5 **(1)** Award 1 mark for correct income elasticity of demand (YED) = 2.4 **(1)** Award 2 marks if YED is correctly calculated as 2.4, even if no calculations are shown Do not award marks for the formula	**(2)**

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of supply, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 17 of 18 · Question 1 part g · 3 marks

2020 JAN · Paper 01 (regional R) · extract 3 of 5 · find part g in this mark scheme extract

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant opportunity cost Award 1 mark for developing the opportunity cost Award 1 mark for the response being in context • One opportunity cost is the firm may not be able to employ additional staff **(1)** it cannot buy the computer system and employ additional staff **(1)** because it does not have enough resources/money to fund both **(1)** Accept any other appropriate response.	**(3)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 17 of 18 · Question 1 part g · 3 marks

2020 JAN · Paper 01 (regional R) · extract 4 of 5 · find part g in this mark scheme extract

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • An oligopoly is a market that is dominated by a few large producers • 87% of Dubai's shopping malls are owned by just five firms, meaning that the market is dominated by a few large producers • The shopping malls are differentiated by a variety of features such as an indoor ski slope and an indoor aquarium. Differentiation is a feature of an oligopoly • By offering something different the shopping malls are able to use non price competition to attract a share of the tourism sector that visits one of the busiest shopping destinations in the world • Sales are predicted to reach $71bn by 2021 making the owners of the shopping malls very dominant. This would create a barrier to entry, another feature of an oligopoly

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 17 of 18 · Question 1 part g · 3 marks

2020 JAN · Paper 01 (regional R) · extract 5 of 5 · find part g in this mark scheme extract

Question number	Answer	Mark

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 18 of 18 · Question 1 part g · 3 marks

2024 JUN · Paper 01 · extract 1 of 5 · find part g in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** Infinity A is not correct because this is unitary elasticity B is not correct because demand is price inelastic C is not correct because this is perfectly price inelastic demand	**(1)**

Question number	A country has a minimum wage of €6.04 per hour. If a worker provides 35 hours of labour in a week, the lowest weekly wage the worker can earn is **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **C** €211.40 A is not correct because this is only one hour of labour B is not correct because this is less than the minimum wage for a 35-hour week D is not correct because this is not the lowest amount that can be earned	**(1)**

Question number	What is meant by the term mixed economy? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition The state/public and private sectors **(1)** provide goods/services between them **(1)** Accept any other appropriate response	**(2)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 18 of 18 · Question 1 part g · 3 marks

2024 JUN · Paper 01 · extract 2 of 5 · find part g in this mark scheme extract

Question number	State **one** example of an occupation that is in the tertiary sector of an economy. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for a correct example • Teacher/Retailer/Banker Accept any other appropriate response	**(1)**

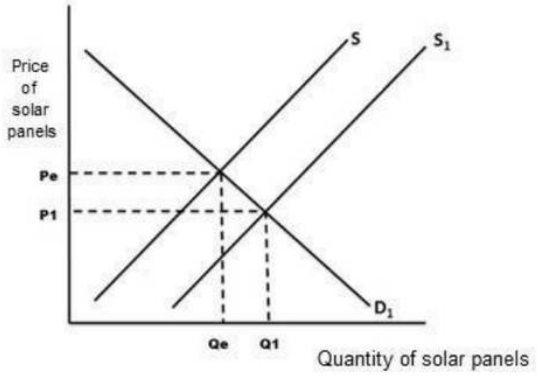
Question number	Define the term producer. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A person/company/country that makes/creates goods/services Accept any other appropriate response	**(1)**

Question number	Calculate, to two decimal places, the **income elasticity of demand (YED)** for a good if income increases by 7% and quantity demanded increases by 11%. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 11% ÷ 7% **(1)** Award 1 mark for correct income elasticity of demand (YED) = 1.57 **(1)** Award 2 marks if YED is correctly calculated as 1.57, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 18 of 18 · Question 1 part g · 3 marks

2024 JUN · Paper 01 · extract 3 of 5 · find part g in this mark scheme extract

Question number	Using the diagram below, draw the likely effects on the market for solar panels if the government removes an indirect tax on them. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	**Mark**
1(g)	**AO2 3 marks** Award 1 mark for a rightward shift of supply, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled 	**(3)**

Question number	Explain one possible opportunity cost for Casper of this decision. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant opportunity cost Award 1 mark for developing the opportunity cost Award 1 mark for the response being in context • One opportunity cost is Casper may not be able to buy a new phone **(1)** because he does not have enough money for both **(1)** so he has to sacrifice the next best alternative when using the money he has to buy the television **(1)** Accept any other appropriate response	**(3)**

Type MS · Draw a tariff, subsidy or indirect tax change

Answer 18 of 18 · Question 1 part g · 3 marks

2024 JUN · Paper 01 · extract 4 of 5 · find part g in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse **two** possible factors influencing Anastasia's decision to open a second club. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Factors influencing the growth of firms include the desire to spread risk, to take over competitors, access to finance, economies of scale and government regulation • The martial arts club has been successful for a few years, meaning Anastasia may have access to finance • Therefore, she may have enough finance with which to open a second club in another district of Budapest • Although the club is successful in District 16, Anastasia may wish to spread the risk • In case demand changes at her existing club the revenue from the second club is able to support the running of the firm

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
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Type MS · Draw a tariff, subsidy or indirect tax change

Answer 18 of 18 · Question 1 part g · 3 marks

2024 JUN · Paper 01 · extract 5 of 5 · find part g in this mark scheme extract

Question number	Which **one** of the following diagrams shows excess supply? **Answer**	**Mark**